

Comment on the Notice of Proposed Rulemaking: Bank Secrecy Act and Sanctions Compliance Standards for FDIC-Supervised Permitted Payment Stablecoin Issuers

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Introduction and summary

Tokenization Systems is an independent research program studying the operational control layer of tokenized financial systems: the technical and organizational functions through which a stablecoin issuer or interface operator actually exercises control over issuance, reserve custody, transaction routing, and the execution of lawful orders. Tokenization Systems develops measurement instruments that make those control functions observable to supervisors, including the Minimum Viable Equivalence Pack, a ten-category structural diagnostic for diligence at decision points, and the Control Layer Intensity Index for continuous monitoring.

Tokenization Systems has submitted 12 prior federal comments across six federal agencies, including comments to the Office of the Comptroller of the Currency on its implementing rule for permitted payment stablecoin issuers (Docket OCC-2025-0372, with a supplemental comment on interface-layer conduct); to the Department of the Treasury on state-similarity principles (TREAS-DO-2026-0232); to the Financial Crimes Enforcement Network on the general anti-money-laundering rulemaking (FINCEN-2026-0034) and, jointly addressed to the Office of Foreign Assets Control, on the permitted-payment-stablecoin-issuer program rulemaking (FINCEN-2026-0100); to the Federal banking agencies on the joint anti-money-laundering rule (91 Fed. Reg. 18304); and to the FDIC on the prudential activities rule (RIN 3064-AG19) and the application-process rule (RIN 3064-AG20). This comment is Tokenization Systems' third FDIC comment. The federal rulemakings together define the operational architecture within which permitted payment stablecoin issuers (PPSIs) will issue payment stablecoins; the recommendations in this comment are designed to coordinate with the parallel rulemakings rather than to duplicate or contradict them.

This rule occupies a distinct position in that architecture. As the FDIC states in Section III, the proposed rule would “amend subpart A of part 350 to add a provision to address PPSI BSA and sanctions compliance standards” and would “establish subpart C of part

350 to add supervision and enforcement provisions for PPSI AML/CFT programs.” Proposed Section 350.6(d) imposes the substantive obligation by incorporation, requiring each PPSI to comply with the Bank Secrecy Act, sections 4(a)(5) and 4(a)(6)(B) of the GENIUS Act, and “applicable regulations at 31 CFR chapter V and 31 CFR chapter X.” The substantive AML/CFT and sanctions program content (what such a program must contain, and what makes it effective) lives in the companion FinCEN and OFAC rule at 91 Fed. Reg. 18582 and in 31 CFR chapters V and X. This rule is therefore principally a supervision-and-coordination instrument: it specifies how the FDIC will examine and enforce against PPSIs through its own channel, and how the FDIC will coordinate with the Director of FinCEN before doing so.

The central proposition of this comment is that the coordination architecture the rule proposes (the advance-notice consultation under proposed Section 350.202 and the effective-program disposition under proposed Section 350.201) functions as intended only if the FDIC and FinCEN read the same measured control posture of the same operator. Two agencies coordinating on a verbal account, or on separately gathered and non-comparable observations, will produce duplicative examination, divergent determinations, and the logistical friction the FDIC itself identifies in Question 4. A shared, reproducible measurement of control-layer posture, organized as a single supervisory record per operator, closes that gap. The comment’s distinctive contribution is to identify the same problem at the boundary of a dual-character instrument: where the token does not change, but the obligor, legal regime, and supervisory perimeter do.

A note on scope and evidence precedes the recommendations. Where this comment draws on Tokenization Systems’ empirical work in tokenized governance and concentration, that work studies decentralized-finance and decentralized-physical-infrastructure protocols, not PPSIs. Those findings are offered to illustrate a measurement method and a failure mode, not as evidence about any PPSI. The comment flags this scope qualification at each point of use. It notes in addition that every FDIC-supervised PPSI will be a subsidiary of an insured depository institution (the FDIC supervises zero PPSIs at present, per Section IV.A), so Tokenization Systems’ protocol-level findings transfer as method only and not as a description of the entities this rule covers.

The six recommendations are mapped below to the FDIC’s questions and to the action requested in the final rule, preamble, or examination guidance:

Recommendation	FDIC question or provision	Requested final-rule action	Why it matters
1. Observable effective-program criteria	Question 1; proposed Section 350.201	Clarify that the effective-program disposition rests on observable indicators drawn from the FinCEN program requirements, not attestation alone.	Prevents the disposition from becoming a paper-program safe harbor.

Recommendation	FDIC question or provision	Requested final-rule action	Why it matters
2. Shared control-posture record	Question 4; proposed Section 350.202(b)(1)	Make a reproducible control-posture record a standing component of the FDIC-to-FinCEN notice package.	Gives both agencies the same measured object and reduces duplicative examination.
3. Thresholds keyed to posture	Questions 2 and 3; proposed Sections 350.200 and 350.202	Pair any issuance-value threshold or PPSI-requested consultation option with a control-posture trigger, and include section 6(b) suspension or revocation actions when AML/CFT deficiencies are part of the basis.	Keeps consultation focused on both systemic consequence and control failure.
4. Operational test of block, freeze, and reject capability	Proposed Section 350.6(d); Section IV.C	Require examination evidence that the capability works across primary and secondary channels, with intensity scaled to measured holder concentration.	Converts the sanctions obligation from a documented design into an observed control.
5. Accountable line for parent-program reliance	Question 1; proposed Section 350.6(d)	Confirm that one identifiable accountable line holds both PPSI-specific control-posture information and authority to act on it.	Prevents parent-program reliance from diffusing responsibility between the entity that sees the problem and the entity that can fix it.
6. Coverage across holding-location obligor changes	Question 1; proposed Sections 350.201, 350.202, and 350.6(d)	Confirm that AML and sanctions coverage follows a tokenized instrument when its obligor and legal regime change based on holding location.	Prevents the unexamined leg of a dual-character instrument from becoming the blind spot in the supervision architecture.

The highest-priority implementation language could be framed as follows:

- **Preamble clarification for proposed Section 350.201:** “In determining whether a permitted payment stablecoin issuer has established an effective AML/CFT program for purposes of this subpart, the FDIC will evaluate observable evidence that the program’s identity-verification, transaction-monitoring, sanctions-screening, and lawful-order-execution controls are operationally exercisable for the control functions the issuer performs.”
- **Examination-guidance language for proposed Section 350.201:** “A program should not be treated as effective solely because policies, procedures, or attestations exist; examiners should confirm that the issuer can demonstrate the relevant control functions under test conditions appropriate to its business model and risk profile.”
- **Possible Section 350.202(b)(1) implementation language:** “The written notice to the Director of FinCEN should include, where available, the issuer’s current control-posture record, including the examination workpapers and operational metrics used to assess whether the relevant controls function in practice.”
- **Examination-guidance language for proposed Section 350.6(d):** “An examination of sanctions compliance should include operational testing of the issuer’s capability to block, freeze, or reject transactions in accordance with lawful orders and applicable sanctions law, including testing across both issuer-controlled and secondary-market holding channels.”
- **Preamble clarification for dual-character instruments:** “Where one tokenized instrument changes obligor or applicable legal regime based on the holder’s location inside or outside a consortium, the FDIC should confirm that AML/CFT and sanctions coverage, identity continuity, and lawful-order execution remain effective across the transition.”

The recommendations also align with the parallel federal rulemakings and answer the principal objections likely to arise:

Issue	This proposal	Sibling proposal(s)	Recommended alignment
Effective-program disposition	AG29 creates the FDIC effective-program disposition in proposed Section 350.201.	FINCEN-2026-0100 and 31 CFR chapter X supply the substantive AML/CFT program standard.	Preserve FinCEN’s substantive standard, but state the observable evidence FDIC examiners use to determine that the standard is met in practice.
FDIC and FinCEN consultation	AG29 requires advance notice and consideration of FinCEN input under proposed Section 350.202.	FINCEN-2026-0034 and FINCEN-2026-0100 both depend on comparable program information across regulated entities.	Use a single control-posture record so FinCEN and the FDIC reason over the same measured object instead of reconstructing two records.

Issue	This proposal	Sibling proposal(s)	Recommended alignment
Block, freeze, and reject capability	AG29 incorporates sanctions compliance through proposed Section 350.6(d) and references operational costs for block, freeze, and reject capability.	FINCEN-2026-0100 and OFAC set the sanctions-program obligation for PPSIs.	Treat AG29 as the FDIC examination channel for testing whether that capability works across primary and secondary holding channels.
Parent-program reliance	AG29's impact analysis expects most FDIC-supervised PPSIs to leverage parent institution compliance programs.	AG20 raised enterprise-wide integration in the application channel; the banking-agency AML rule addresses program governance at banking institutions.	Confirm that reliance on the parent program preserves one accountable line with both PPSI-specific information and authority to act.
Dual-character instruments	AG29 examines FDIC-supervised PPSIs, but a single token can change obligor and legal regime based on holding location.	AG19 addresses prudential PPSI requirements; FINCEN-2026-0100 addresses AML/CFT and sanctions program content.	Use AG29 consultation and examination to confirm that the leg outside direct FDIC examination is not an AML or sanctions blind spot.

The main anticipated objections are manageable. If the FDIC is concerned about burden, the shared record reduces duplicative reconstruction rather than adding a second exam. If the FDIC is concerned about privilege under Question 5, the operational record is a record of observed control facts, not a substitute for privileged legal analysis. If the FDIC is concerned that the named dual-character example sounds like an enforcement allegation, the example is offered only as a supervisable failure mode and not as a claim that either named institution is an FDIC-supervised PPSI under this rule.

I. Group I: The effective-program disposition and the consultation framework need a common measured object (Recommendations 1 through 3)

Recommendation 1 (Question 1; proposed Section 350.201): Tie the effective-program disposition to observable, reproducible qualification criteria

Proposed Section 350.201(a) provides that, except with respect to a significant or systemic failure to implement an effective AML/CFT program in accordance with applicable regulations at 31 CFR chapter X, “an FDIC-supervised permitted payment stablecoin issuer that has established an effective AML/CFT program in accordance with applicable regulations at 31 CFR Chapter X will not be subject to an AML/CFT enforcement action or to a significant AML/CFT supervisory action related to the program requirements issued by FinCEN.” Question 1 asks whether the FDIC “should further refine or clarify any of the concepts or definitions outlined in the proposed supervision and enforcement provisions.” The most consequential concept the proposed rule leaves unrefined is the meaning of “effective AML/CFT program,” and Tokenization Systems recommends that the FDIC clarify how an examiner reaches that determination, anchoring it in observable, reproducible features of the program rather than in attestation alone.

The drafting structure makes this clarification load-bearing. The rule does not itself define an effective program; the preamble ties the determination to the program requirements issued by FinCEN under 31 CFR chapter X. That deferral is appropriate as to substantive program content, because the content is set in the companion rule. It is incomplete as to examination practice, because nothing in proposed Section 350.201 states what an examiner observes in order to conclude that a program is effective rather than nominal. The disposition is consequential: a PPSI that clears it is, by the rule’s own terms, not subject to an AML/CFT enforcement action or a significant AML/CFT supervisory action on the program requirements. A disposition with that consequence should rest on a reproducible determination.

Tokenization Systems’ prior comments have argued, in both the FinCEN and the FDIC channels, that a program’s existence on paper does not establish that the program functions. In its FINCEN-2026-0100 comment (Recommendation 2), Tokenization Systems argued that the block, freeze, and reject capability required of a PPSI cannot be presumed from the existence of smart-contract functions and must be operationally verified; in its FINCEN-2026-0034 comment (Recommendation 5), it generalized that point to independent testing that is fit for purpose, tracing on-chain behavior against internal records rather than reviewing documentation alone; and in its comment on the FDIC prudential rule (RIN 3064-AG19, Recommendation 11), it extended the principle to operational verification of private-key management controls. The increment this comment adds is to carry that established principle into the disposition that Section 350.201 creates: the effective-program determination should be the output of a reproducible examination, expressed in observable features (whether the program’s identity-verification, monitoring, and lawful-order-execution functions are demonstrably exercisable for each control function the PPSI performs), and not a conclusion drawn from an attestation that the program

exists.

Tokenization Systems does not recommend that the FDIC author its own definition of an effective program that diverges from the FinCEN standard; that would defeat the coordination the rule seeks and risk inconsistency between the two instruments. It recommends that the FDIC, in the preamble to the final rule or in examination guidance accompanying Section 350.201, identify the observable indicators an examiner uses to reach the determination, drawn from the FinCEN program requirements, so that the determination is reproducible across examinations and comparable across PPSIs. Tokenization Systems' research supports treating the gap between a documented program and an operative one as the recurring failure point rather than an edge case. In Tokenization Systems' comparison of payment-stablecoin operators across regulatory-intensity scores, a higher score on the continuous-monitoring index did not by itself prevent a peg failure: in March 2023, the operator scoring highest on the index nonetheless experienced a depeg of approximately 10.4 percent on decentralized exchanges and approximately 13 percent on centralized exchanges, while a lower-scoring operator held its peg over the same window. That contrast, offered as illustration of the principle and not as evidence about any PPSI, shows that effectiveness is a property of observed behavior under stress, not of documented design; a determination framework that does not measure observed behavior will systematically overstate effectiveness.

Recommendation 2 (Question 4; proposed Section 350.202): Give the advance-notice consultation a single, shared, reproducible control-posture record

Proposed Section 350.202(b)(1) requires the FDIC to send the Director of FinCEN written notice of its intent to take an AML/CFT enforcement action or a significant AML/CFT supervisory action "at least 30 days before taking the action," with a shorter period available in the FDIC's sole discretion for unsafe-or-unsound conditions. The notice must be accompanied by the relevant AML/CFT information underlying the proposed action, which the rule states may include, among other things, "the relevant portions of the draft report or enforcement action, the relevant examination workpapers supporting the proposed action, and the relevant AML/CFT information submitted by permitted payment stablecoin issuer to the FDIC." Section 350.202(a) provides that the FDIC will consider FinCEN's input on the action, "which may include any view as to the effectiveness of the permitted payment stablecoin issuer's AML/CFT program." Question 4 asks: "How can the consultation process be streamlined and prevent logistical burdens for PPSIs or delays in exam report issuance?"

Tokenization Systems recommends that the FDIC streamline the consultation by maintaining, for each PPSI, a single reproducible record of measured control-layer posture that both the FDIC and FinCEN read, and by making that record a standing component of the information transmitted with the Section 350.202(b)(1) notice. The mechanism the rule proposes already contemplates transmitting examination workpapers and the underlying AML/CFT information; the recommendation is that a defined, reproducible control-posture record be a standing element of that package rather than an ad hoc

assembly of materials at the moment an action is contemplated.

The principal source of the logistical burden and exam-report delay the FDIC identifies in Question 4 is the cost of FinCEN reconstructing, within the notice window, an independent understanding of a control posture the FDIC has already examined. If FinCEN's view as to the effectiveness of the PPSI's program, contemplated in Section 350.202(a), is formed against the same measured record the FDIC used to reach its determination under Section 350.201, the two agencies reason over a common object. Divergence then reflects a genuine difference in judgment about a shared posture, which is the kind of difference the consultation is designed to surface, rather than an artifact of two agencies measuring different things. This is the operational form of the coordination the rule seeks.

Tokenization Systems' prior FinCEN-channel comments recommended that the agencies coordinate (FINCEN-2026-0100, Recommendation 9; FINCEN-2026-0034, Recommendation 7); this recommendation gives that coordination a concrete object, a common, observable record, which is the form that prevents duplicative examination.

The record need not be elaborate. Tokenization Systems' prior comment to the FDIC on the prudential activities rule recommended that the confidential weekly report under proposed Section 350.7(g) carry a small set of control-layer observability data points, including block, freeze, and reject action counts aligned for supervisory consistency with the corresponding metric in the parallel FinCEN PPSI rule (RIN 3064-AG19, Recommendation 12). Those same data points, already proposed for the prudential channel, are the natural common dataset for the consultation contemplated here: the data that supports the prudential weekly report also supports the AML/CFT consultation, and using one dataset for both is the streamlining the proposed rule seeks. A practical corollary follows from Tokenization Systems' applied work on operator-level supervision, which describes a single supervisory record organized per operator, covering one operator that conducts multiple regulated activities under multiple regulators. The same logic applies to the FDIC and FinCEN around a single PPSI: one operator, one measured control-posture record, read by both agencies, rather than two parallel reconstructions. A single record per operator both minimizes the duplicative examination the Question 4 burden language anticipates and shortens the effective cost of the notice window, because FinCEN reviews an existing record rather than assembling a new one.

Recommendation 3 (Questions 2 and 3; proposed Section 350.202): Pair any consultation threshold with a control-posture trigger, account for section 6(b) actions, and support a PPSI-requested option keyed to the same record

Question 2 asks whether any aspects of the GENIUS Act framework with regard to supervision, examination, and enforcement need to be better accounted for in the consultation process, and asks specifically whether "the definition of AML/CFT enforcement action and this framework [should] account for suspension or revocation under section 6(b) of the GENIUS Act, (12 U.S.C. 5905(b)), based in whole or in part on AML/CFT deficiencies." Question 3 asks whether the consultation process should include an asset threshold, offering the example of "consultation [required] for any significant AML/CFT supervisory actions involving PPSIs with \$10 billion or more in outstanding

issuance value,” and asks in the alternative whether the rule should “provide the option for PPSIs to request that the FDIC consult with FinCEN prior to initiating a significant AML/CFT supervisory action, if the PPSI is aware of a potential enforcement action.”

On Question 2, Tokenization Systems recommends that the consultation framework expressly account for a suspension or revocation under section 6(b) of the GENIUS Act that rests in whole or in part on AML/CFT deficiencies. A suspension or revocation is the most consequential action the framework reaches, and an action grounded even in part in AML/CFT deficiencies engages precisely the FinCEN view as to program effectiveness that Section 350.202(a) contemplates. Tokenization Systems recommends that the definition of AML/CFT enforcement action in proposed Section 350.200, or the scope of the consultation in proposed Section 350.202, be drawn so that a section 6(b) action premised in part on AML/CFT deficiencies triggers the same advance-notice consultation as a stand-alone AML/CFT enforcement action, so that the FinCEN view informs the most severe determinations rather than only the intermediate ones.

On the Question 3 threshold, Tokenization Systems offers a calibrated response. Outstanding issuance value is a reasonable first-order proxy for systemic consequence, and an issuance-value threshold is administrable and observable; Tokenization Systems does not recommend replacing it. It is, however, an incomplete proxy for the control-layer risk the consultation exists to manage, because two PPSIs at the same issuance value can present materially different control postures. The recommendation is therefore that, if the FDIC adopts an issuance-value threshold, it pair the threshold with a control-posture trigger: consultation is required for PPSIs at or above the issuance-value figure and also for any PPSI whose measured control-posture record (Recommendation 2) falls below a defined supervisory floor, regardless of issuance value. This pairing keeps the threshold administrable while directing the consultation requirement to the cases where the FinCEN view is most likely to matter. The thresholds themselves are properly the FDIC’s to set; the recommendation is only that the trigger be keyed to a measured object and not to issuance value in isolation.

On the alternative the question raises, Tokenization Systems supports providing PPSIs the option to request that the FDIC consult with FinCEN before initiating a significant AML/CFT supervisory action when the PPSI is aware of a potential action. The same shared, reproducible record recommended in Recommendation 2 is what makes a PPSI-initiated consultation tractable: a PPSI that maintains the control-layer measurements Tokenization Systems describes can support its request with the same observable evidence the FDIC and FinCEN would use, which keeps the optional path from becoming a separate, differently grounded process. Tokenization Systems recommends that any PPSI-initiated consultation option in proposed Section 350.202 be keyed to that common record, so that the optional path and the FDIC-initiated path rest on the same observable basis.

II. Group II: The examined program must rest on verified capability and locate where control actually sits (Recommendations 4 through 6)

Recommendation 4 (proposed Section 350.6(d); Section IV.C cost discussion): Confirm the block, freeze, and reject capability by operational test, scaled to measured holder concentration

The FDIC requests comment on the requirements contained in proposed Section 350.6(d), which requires each PPSI to comply with, among other things, an “economic sanctions compliance program” and the “applicable regulations at 31 CFR chapter V.” In the Impact Analysis, the FDIC describes the relevant operational capability directly: PPSIs will incur operational costs developing “capabilities to block, freeze, or reject transactions in accordance with lawful orders and applicable sanctions law” (Section IV.C). The FDIC states elsewhere in Section IV.C that “most, if not all, FDIC-supervised PPSIs would leverage their parent institutions’ AML/CFT and sanctions compliance programs,” such that “the expected incremental cost imposed by the proposed rule is expected to be relatively small.”

Tokenization Systems recommends that, when the FDIC examines a PPSI’s compliance with the sanctions-program obligation incorporated by Section 350.6(d), the block, freeze, and reject capability be operationally verified rather than inferred from the existence of the parent’s program or from the presence of on-chain functions, and that the verification be scoped by a measurement of where the PPSI’s tokens are actually held. The substantive position is already on the record: in its FINCEN-2026-0100 comment (Recommendation 2), Tokenization Systems argued that this capability must be independently tested for both the primary and the secondary market and cannot be presumed from the existence of smart-contract functions, and the OFAC internal-controls portion of that comment recommended preventive screening at the smart-contract layer paired with detective post-transaction monitoring, tested against scenarios and not against lists alone. This comment does not re-litigate that position. The increment is jurisdictional: the FDIC’s examination under this rule is the channel through which that already-recommended verification is actually exercised against an FDIC-supervised PPSI, and the effective-program disposition under Section 350.201 (Recommendation 1) should not be reached for the sanctions component unless the block, freeze, and reject capability has been demonstrated rather than represented.

The leverage-the-parent structure the FDIC describes in Section IV.C makes verification more important, not less. A PPSI that inherits a parent institution’s monitoring architecture inherits a capability that was designed for the parent’s products and customer base, not necessarily for the PPSI’s on-chain issuance and the secondary-market circulation of its stablecoin. The block, freeze, and reject capability operates on a different object (a circulating token, often held across many wallet addresses the issuer never onboarded) than the deposit and payment rails the parent’s program was built to police. Verification of the capability against the PPSI’s actual product is what establishes that the inherited program covers the inherited risk; an examination that accepts the inheritance as sufficient does not

test the seam between the two.

This recommendation should account for secondary-market structure, because the consequence of a defective freeze capability scales with holder concentration: the more concentrated the issuer's tokens are in holdings the issuer does not directly control, the more a single defect reaches. Holder concentration is a measurable, reproducible quantity: Tokenization Systems' measurement of two large dollar stablecoins on a single public ledger found, in a snapshot dated May 20, 2026, a top-100-holder Herfindahl-Hirschman Index of approximately 1,130 for one Solana-resident stablecoin against approximately 235 for another on the same chain, a difference of roughly five times. Those tokens are not PPSI-issued; the figure shows only that secondary-market concentration is measurable and varies materially across comparable tokens. The supervisory implication is that the operational verification recommended here should be scaled to the concentration profile of the specific token, because concentration determines how much of circulating supply a single lawful-order action reaches.

Recommendation 5 (Question 1; proposed Section 350.6(d)): Where a PPSI leverages its parent's program, confirm an identifiable accountable line holding both information and authority

Question 1 invites refinement of the concepts in the proposed provisions. The proposed rule's Impact Analysis states that the FDIC "expects that most, if not all, FDIC-supervised PPSIs would leverage their parent institutions' AML/CFT and sanctions compliance programs, including risk assessment methodologies, monitoring architectures, and governance structures" (Section IV.C). That expectation, that a PPSI's program will substantially be its parent insured depository institution's program, raises a concept the proposed rule does not address directly: where a PPSI's compliance functions are performed by, or shared with, its parent, who holds both the information the program monitors and the authority the program requires to act on what it detects.

Tokenization Systems recommends that the FDIC clarify, in connection with the incorporated requirement of proposed Section 350.6(d), that an effective program at a PPSI that leverages its parent's program requires an identifiable line of accountability under which a party, identifiable to the examiner, holds both the PPSI-specific control-posture information and the authority to direct remedial action on it. Leveraging the parent's program is not improper; the cost analysis treats it as the expected and efficient arrangement. The concern is that when a compliance function is delegated or shared, accountability can become diffuse: the party with the on-chain visibility to detect a sanctioned-address interaction may not be the party with the contractual or technical authority to freeze it, and the party with the authority may lack a complete view of the PPSI-specific posture. A documentary description of which entity performs which function does not, by itself, establish that an accountable party holds both information and authority; that establishment requires examining the operative arrangement.

Tokenization Systems' empirical work on delegated governance illustrates the method by which this diffusion can be measured, and Tokenization Systems flags clearly that this work

studies decentralized governance systems, not PPSIs, and transfers as method and as a cautionary pattern only. In a 52-protocol cross-section study of tokenized governance systems, currently under review at *Frontiers in Blockchain* (resubmitted June 3, 2026), *Tokenization Systems* found that delegation amplifies effective voting power above token holdings in thirteen of eighteen protocols with sufficient governance data, with amplification ratios ranging from 2.5 times to 25.6 times the holding baseline. The study's subjects are decentralized-finance and decentralized-physical-infrastructure protocols, not payment stablecoin issuers, so those figures do not describe PPSI structures and are offered only to show that the method reliably surfaces a gap between nominal and effective control when control is delegated. The transferable point is diagnostic: where control is delegated, the nominal locus of accountability and the effective locus of control can diverge, and an examination that reads only the nominal structure will misjudge the program.

A structural pattern now emerging in the bank-led tokenization market sharpens this concern from a different direction, and *Tokenization Systems* flags that it offers the pattern as an illustration of a supervisable failure mode and not as an allegation of wrongdoing; neither named institution is presented as an FDIC-supervised permitted payment stablecoin issuer under this rule. The Hazel Network, described in a June 2026 white paper jointly published by Vantage Bank Texas and Custodia Bank, Inc., is a publicly announced arrangement of this kind: a single unified token carries a different obligor depending on where it is held (Vantage Bank and Custodia Bank, 2026). While held within the bank consortium it is a deposit liability of Vantage Bank Texas, an FDIC-insured member bank; when transferred outside that consortium the same token becomes a payment stablecoin issued by Custodia Bank, a Wyoming special-purpose depository institution, with no redemption or settlement event marking the transition, and as the white paper states, the token does not change, only its legal classification changes. An arrangement of this kind places the diffusion this recommendation addresses at its most acute, and it also strains the same-operator premise on which the central proposition of this comment rests, because the operator that stands as obligor, and the primary supervisor to which that operator answers, both change as the instrument crosses the boundary. That divergence is a structural feature of the design rather than an incidental one, because Custodia Bank, which does not hold a Federal Reserve master account, cannot itself stand as the insured-deposit obligor; the arrangement therefore assigns the deposit leg to Vantage Bank Texas, which holds such access, and assigns the post-boundary leg to Custodia, with the consequence that the state in which the instrument is least clearly accountable is also the state the design routes to the entity less integrated into the Federal banking supervisory perimeter (Custodia Bank, Inc. v. Federal Reserve Board of Governors, 2025). The information a control-posture record would capture and the authority to act on it can then sit with different entities under different supervisory regimes on either side of a transition the token makes programmatically rather than through a settlement event an examiner can observe. The examination contemplated by proposed Section 350.6(d) should be able to confirm that an identifiable accountable line holds both the control-posture information and the authority to act on it across the full lifecycle of the instrument, including the transition at which its obligor and its applicable regime change, and not only within the state in which an FDIC-supervised institution is the obligor; an accountable line confirmed only for the

deposit state would, by construction, leave unexamined the state in which the instrument is least clearly accountable, and the effective-program disposition under proposed Section 350.201 should not be reached for the sanctions component without that full-lifecycle confirmation.

This recommendation is framed as responsive to Question 1 and as a coordination point with the companion FinCEN and OFAC program rule, not as a critique of an existing provision of this rule: the rule contains no responsible-officer or governance-locus provision, and Tokenization Systems does not suggest that this rule should originate one. The recommendation extends to the FDIC examination channel a position Tokenization Systems advanced to FinCEN, that a United States-based AML/CFT compliance officer should hold effective supervisory control over United States-nexus operations rather than a nominal title (FINCEN-2026-0034, Recommendation 4), and it coordinates with Tokenization Systems' recommendation to the FDIC on the application rule that the FDIC signal it will evaluate enterprise-wide AML/CFT program integration between a subsidiary PPSI and its parent (RIN 3064-AG20, observation on Question 11). The increment is the supervision-channel one: the FDIC's examination under Section 350.6(d) should confirm that the leveraged arrangement preserves an identifiable accountable line rather than diffusing it.

Recommendation 6 (Question 1; proposed Sections 350.201, 350.202, and 350.6(d)): Confirm that AML and sanctions coverage follows the instrument across a holding-location obligor change

The full-lifecycle point in Recommendation 5 has three concrete applications that the rule's existing machinery can perform. Tokenization Systems offers them as coverage confirmations rather than as new requirements, and not as a representation about any institution; each carries a position already on the record forward to the case in which a single instrument changes its obligor and its applicable regime across a holding-location boundary.

First, the boundary transition itself should be a monitored and screenable event. Because the legal-character change can occur through an ordinary on-chain transfer with no issuance, redemption, or settlement event marking it, an examination that screens only transactions within each state can miss the moment the instrument crosses into the state with the weaker obligor. Tokenization Systems recommends that the block, freeze, and reject capability confirmed under Recommendation 4 be demonstrated exercisable at and after that transition, and not only within the state in which an FDIC-supervised institution is the obligor.

Second, identity and monitoring obligations should be confirmed not to lapse across the transition. When an instrument moves from a holder identified through the member institution's customer-identification program to a holder outside that perimeter, a control-posture record (Recommendation 2) scoped to the identified-holder state does not, by itself, establish coverage of the holder population on the other side. The examination should confirm that customer-identification and transaction-monitoring obligations are met

for the instrument’s full holder population, and not only for the population captured in the state the FDIC examines.

Third, where the post-transition obligor answers to a supervisor other than the FDIC, the advance-notice consultation under proposed Section 350.202 should confirm that the state the FDIC does not examine is not, for that reason, an AML and sanctions blind spot. The shared, reproducible control-posture record recommended in Recommendation 2 is the natural instrument: it lets the FDIC and FinCEN confirm that the block, freeze, and reject capability and the screening obligation are owned and exercisable on the leg the FDIC does not directly supervise, so that the design does not, by construction, route the state in which the instrument is least clearly accountable to the entity least integrated into the examination this rule creates.

III. A note on proposed Section 350.203 and Question 5

Question 5 invites comment on the two options for permitting greater information sharing with the Director of FinCEN under proposed Section 350.203, and asks in particular whether the disclosure of confidential supervisory information to FinCEN would “compromise attorney-client privilege, other applicable privileges, or otherwise undermine the preservation of privilege in 12 U.S.C. 1821(t).” That question turns principally on privilege law and supervisory-information protection, on which Tokenization Systems does not hold subject-matter expertise; it offers no recommendation on the choice between Option 1 and Option 2 and defers the privilege question to commenters with the relevant expertise.

Tokenization Systems notes only the connection to its measurement recommendations, without taking a position on the privilege choice. The shared, reproducible control-posture record recommended in Recommendation 2 consists of observed operational facts about whether a capability functions, which are distinct in kind from the privileged legal analysis of a proposed action. A sharing framework built on that observed operational dataset reduces the volume of privilege-sensitive material that must change hands in order to establish a common view of the PPSI’s control posture. Tokenization Systems raises this only as an interaction for the FDIC to confirm under whichever option it adopts, not as a position on Question 5.

Conclusion

This rule is the FDIC’s supervision-and-coordination layer over an AML/CFT and sanctions program whose substance is set in the companion FinCEN and OFAC rule at 91 Fed. Reg. 18582 and in 31 CFR chapters V and X. Its two distinctive features, the effective-program disposition in proposed Section 350.201 and the FDIC and FinCEN advance-notice consultation in proposed Section 350.202, share one structural requirement: they work as intended only when the two agencies reason over the same measured object.

The recommendations above turn that requirement into practice. They ask the FDIC for an effectiveness disposition anchored in observable, reproducible features (Recommendation 1); a single shared control-posture record inside the consultation (Recommendation 2); thresholds and options keyed to that record, with section 6(b) actions expressly accounted for (Recommendation 3); a block, freeze, and reject capability confirmed by operational test scaled to measured holder concentration (Recommendation 4); an identifiable accountable line where a PPSI leverages its parent’s program (Recommendation 5); and, where a single tokenized instrument changes its obligor and applicable regime across a holding-location boundary, confirmation that AML and sanctions coverage follows the instrument across that change (Recommendation 6). Each recommendation is a supervision-channel application of a position Tokenization Systems has argued in the parallel FinCEN and FDIC rulemakings; the increment here is to fit those positions to the examination and coordination machinery this rule actually creates. These recommendations describe structural features that can be observed and measured, not accommodations; a disposition grounded in observed function imposes discipline rather than relaxing it.

Tokenization Systems appreciates the opportunity to comment and is available to provide any of the underlying analysis referenced above.

Respectfully submitted,

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Appendix: Selected Sources

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Financial Crimes Enforcement Network and Office of Foreign Assets Control, “Permitted Payment Stablecoin Issuer Anti-Money Laundering/Countering the Financing of Terrorism Program and Sanctions Compliance Program Requirements,” 91 Fed. Reg. 18582 (April 10, 2026).

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Vantage Bank and Custodia Bank, “Hazel Network: Unified Tokenized Bank Deposit and Stablecoin Token” (industry white paper, June 2026).

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